

Downward Breakouts

Reversal or continuation	Short-term bearish reversal
Performance rank	33 out of 36
Breakeven failure rate	31%
Average drop	12%
Volume trend	Upward
Pullbacks	62%
Percentage meeting price target	71%

The Results Snapshot shows statistics for the ascending broadening wedge. Since the pattern is so rare in bear markets, I limit discussion to bull markets only.

Upward breakouts show a rank that's mid-list, but downward breakouts show performance near the bottom of the list of all chart patterns. Notice how the failure rate for downward breakouts (31%) is twice that of upward breakouts (15%). It sends a shiver down my bones.

Downward breakouts in bull markets have failure rates (31%) well above the average 24.7% of all chart pattern types. If you're expecting a big drop after this pattern breaks out downward, then you'll be disappointed. Of course, that's based on the average performance drop of 12%, so your pattern may perform differently. For the glass-half-full crowd, you can buy a busted downward breakout, and there's a good chance it'll single bust, meaning a higher profit potential when price rises.

The rise after an upward breakout (41.1%) is slightly below the average for all chart patterns (42.4%), so even upward breakouts see price struggle. Let's take a tour of this pattern first and crunch the numbers later.

Tour

What does an ascending broadening wedge look like? Consider the chart pattern in [Figure 12.1](#). The first thing to notice is the two sloping trendlines. The top line has a slightly steeper slope than the bottom one. Together, the two lines diverge but both slope upward. Once price pierces the bottom trendline, it drops rapidly in this example. The chart looks like a